

bonâ fide forms his opinion, but he looks at the case in a totally different way, when he knows on whose behalf he is acting;” and in reference to the case of a loan by trustees on mortgage (but which is not on principle distinguishable from a sale) he added, “a trustee cannot with propriety lend trust money on mortgage upon a valuation made by or on behalf of the mortgagor. If he does so, and the valuer has

bonâ fide valued the property at double its value, the [*500] trustee must take * the consequences: he ought to have employed a valuer on his own behalf to see to it” (a).

4. **There must be a good title.**— Another question of importance is that of *title*. Every direction or authority to lay out trust money upon a purchase of real estate, carries with it the tacit condition that there shall be a good title. Whether, therefore, the trustees are proposing to purchase by *private contract* or by *auction*, they must take care not to bind themselves by any agreement which shall preclude them from requiring a good marketable title. If the intended contract or conditions of sale contain anything of a special character, the trustees should lay them before their counsel for his opinion, whether the stipulations are consistent with their trust (b). Formerly a good marketable title was one traced back for a period of sixty years, but by 37 & 38 Vict. c. 78, s. 1, a forty years’ title has now been substituted.

[5. **Conditions incorporated in the contract.**— The 2d section of the same Act as to contracts for sale made after the 31st December 1874, and the 3d section of The Conveyancing and Law of Property Act, 1881 (c) as to contracts for sale made after the 31st December 1881, incorporate in such contracts various conditions and stipulations (d) unless the same are expressly excluded, and by the 3d section of the

(a) *Ingle v. Partridge*, 34 Beav. 412–414; [but see *Re Godfrey*, 23 Ch. D. 483, where trustees were held not liable though they had not made an independent valuation, and in all cases the true test seems to be whether the trustees have acted as prudent men would in dealing with their own prop-

erty; and see *Re Pearson*, 51 L. T. N. S. 692.]

(b) See *Eastern Counties Railway Company v. Hawkes*, 5 H. L. Cas. 363.

[(c) 44 & 45 Vict. c. 41.]

[(d) For these conditions and stipulations see *ante*, p. 438–440.]